Project Edition B

Updated thesis: My decision is still to watch/defer. While Apple does seem like an attractive investment, with the potential to grow, there is also evidence to suggest a need for caution.

At the surface level, Apple definitely appears to be growing. From fiscal year 2024 to 2025, Apple's revenue increased by approximately 6.43%. In its most recent 10-Q filing, Apple reported a revenue of $364.357 billion— this is approximately 16.14% higher than its revenue from the same period last year.

However, despite revenue going up, Apple's operating cash flow decreased from $118.254 billion to $111.482 billion. Furthermore from FY24 to FY25, Apple's sales in Greater China fell by approximately 3.85%. This suggests that earnings growth should not automatically be treated as recurring operating growth. It also demonstrates that demand varies between regions, which could pose a risk to Apple's more long-term growth.

With that being said, my main concern is whether Apple's recent growth actually signifies long-term development.

Evidence with Sources:

- Revenue increase of 6.43% from FY24-FY25 (Apple's 10-K filing)
- Recent revenue of $364.357 billion (Apple's 10-Q filing)
- Operating cash flow decrease (10-K)
- Sales in Greater China (10-K)

Consequential Assumptions:

- Revenue growth: Apple's revenue growth will continue over the next five years, though it may slow down
- Regional demand: Sales in areas such as Greater China and other international markets are important factors in Apple's long-term performance
- Valuation: Apple's cash flows are enough to justify its current market price

Unknowns:

- Future growth: While Apple's revenue will likely continue to climb, will it grow at the same rate as it is right now?
- Profitability: Will Apple be able to maintain stable profit margins? Especially since things like tariffs and international production costs could change in the future?
- Future cash flows: Will Apple's operational cash flows continue to decrease?

Changes Between Edition A and Edition B:
It's important to note that while my thesis decision remained the same, my reasoning behind the decision is different. In Edition A, I recommended watch/defer because of a lack of data/research. In Edition B, I recommended that because the data I found demonstrates that we cannot be certain of Apple's long-term sustainable growth.

Changed Item	Edition A	Edition B	Primary Driver of Change	Evidence/Test that justified the change
Thesis/ recommendation	Remained the same: watch/defer	Remained the same: watch/defer	Remaining uncertainty regarding whether or not Apple is a good long-term investment.	Operating cash flow decrease, unsteady international sales
Data/source choice	Apple's 10-K	Apple's 10-K and 10-Q	I felt that having more recent data, as well as more varied data, could benefit my analysis	Having the data from the 10-Q did help me reach my decision to watch-defer because it provided me with more recent data
Assumption or model design	Assumptions: Future demand, discount rate, profit margins	Assumptions: Revenue growth, regional demand, valuation	My own research indicated that these three are important assumptions; it also indicated that future demand staying the same was not a certainty, so I changed that assumption	10-K and 10-Q data
Risk, limitation,	Future growth,	Future growth,	These are still	10-K and 10-Q

or uncertainty	profitability, future cash flows	profitability, future cash flows	things that, with my research, I still can't be certain of. I can't be certain that Apple's growth is sustainable, that they will continue to be profitable, or that their cash flows will increase/decrease.	data.

Sources:

https://www.sec.gov/Archives/edgar/data/320193/000032019325000079/aapl-20250927.htm
https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm